Leave Policies

Earned Leave, Casual Leave and Sick Leave Rules for Employees of Data Axle India

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Applies To: All regular and fixed-term employees on the payroll of Data Axle India Private Limited
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1. Purpose

This policy defines the paid leave available to employees of Data Axle India Private Limited and the rules for earning, applying for, approving and carrying forward leave. It is intended to give employees adequate time for rest, personal needs and recovery from illness while allowing teams to plan their work. This policy should be read together with the HR Policies (DA-IN-HR-002), which cover employment terms, and the Holiday Calendar (DA-IN-HR-004), which lists the paid holidays for the year.

2. Scope and General Principles

- This policy applies to all regular and fixed-term employees on the payroll of Data Axle India. Interns, contractors and consultants are governed by the terms of their engagement letters and are not covered by this policy.
- The leave year is the calendar year, from 1 January to 31 December.
- The Company provides exactly three types of paid leave: Earned Leave (EL), Casual Leave (CL) and Sick Leave (SL). Statutory entitlements such as maternity benefit are administered by People Operations in accordance with the applicable law and are outside the scope of this document.
- All leave is applied for, approved and recorded in the Axle Connect people portal. Leave taken without a record in Axle Connect is treated as unauthorised absence.
- Leave is counted in working days. Saturdays, Sundays and declared holidays that fall immediately before or after a period of leave are not counted as leave. The treatment of weekends and holidays falling in the middle of a leave period is described separately for each leave type.
- Half-day leave may be availed for CL and SL. EL is granted in units of a full day only.
- Where an employee has exhausted the relevant leave balance, any further approved absence is treated as Leave Without Pay (LWP) and the salary for those days is deducted in the following payroll. LWP of more than 10 working days in a year is reviewed by the HR Business Partner.

3. Earned Leave (EL)

3.1 Entitlement and Accrual

Every eligible employee is entitled to 18 days of Earned Leave in a full calendar year. EL accrues at the rate of 1.5 days for every completed calendar month of service and is credited to the employee's Axle Connect balance on the first day of the following month. Employees who join on or before the 15th of a month earn the accrual for that month; employees who join after the 15th begin accruing from the following month. EL accrues during probation but may be availed only after the probation period is confirmed, except with the specific approval of the HR Business Partner in cases of genuine hardship.

3.2 Applying for Earned Leave

- EL is intended for planned absences such as vacations, family events and personal commitments.
- An application for EL of up to 2 days must be submitted at least 3 working days in advance. An application for 3 or more consecutive days must be submitted at least 15 calendar days in advance.

- The maximum EL that may be taken in a single spell is 15 working days. Longer spells require the approval of the reporting manager, the skip-level manager and the HR Business Partner.
- Any leave spell, of any type or combination, that exceeds 10 consecutive working days requires skip-level approval in addition to that of the reporting manager.
- EL may be combined with SL where an employee falls ill during a period of EL, subject to the documentation rules for SL. EL may not be combined with CL.
- Weekends and declared holidays that fall between two days of EL are counted as EL (the sandwich rule). For example, EL taken on a Friday and the following Monday is counted as 4 days of EL.

3.3 Carry Forward and Lapse

Unused EL is carried forward to the next calendar year. The maximum EL balance that may be accumulated at any time is 45 days. On 31 December each year, any EL balance in excess of 45 days lapses without compensation. Employees are encouraged to avail at least 5 days of EL in a single spell every year for genuine rest, and managers are expected to plan team schedules to make this possible.

3.4 Encashment

EL is not encashed while the employee is in service. On separation from the Company, the entire unused EL balance, up to the maximum accumulation of 45 days, is encashed in the full and final settlement. Encashment is calculated on the last drawn basic salary, using 30 days as the divisor for a month, and is subject to income tax as applicable. EL is not encashed for employees terminated for gross misconduct.

4. Casual Leave (CL)

4.1 Entitlement and Credit

Every eligible employee is entitled to 8 days of Casual Leave in a full calendar year. The full annual CL entitlement is credited in advance on 1 January. For employees joining during the year, CL is credited on a pro-rata basis at two-thirds of a day for every remaining calendar month of the year including the month of joining, rounded up to the nearest half day. CL may be availed during probation.

4.2 Conditions of Use

- CL is intended for short, unforeseen personal needs such as a family emergency, an urgent household matter, a government or bank formality, or a religious observance that is not covered by the Holiday Calendar.
- Not more than 3 days of CL may be taken at a time. A CL spell of 3 days requires the approval of the reporting manager before the leave begins.
- CL may be taken as a half day.
- CL must be applied for at least 1 working day in advance. Where the need arises without warning, the employee must inform the reporting manager by 10:30 AM on the day of absence and regularise the application in Axle Connect by the next working day.
- CL cannot be combined with EL or with SL in a single spell. Weekends and declared holidays adjoining or falling between CL days are not counted as CL; the sandwich rule does not apply to CL.
- Unused CL lapses on 31 December. CL is not carried forward and is not encashed, whether during service or on separation.

5. Sick Leave (SL)

5.1 Entitlement and Credit

Every eligible employee is entitled to 10 days of Sick Leave in a full calendar year. The full annual SL entitlement is credited in advance on 1 January. For employees joining during the year, SL is credited on a pro-rata basis at five-sixths of a day for every remaining calendar month including the month of joining, rounded up to the nearest half day. SL may be availed during probation.

5.2 Conditions of Use

- SL may be used for the employee's own illness, injury, medical treatment or medical appointments, and for the care of a dependent child, spouse or parent who is hospitalised.
- SL may be taken as a half day.
- The employee must inform the reporting manager by 10:30 AM on the first day of absence, by phone or message, and must apply in Axle Connect on the day of returning to work at the latest.
- For SL of more than 2 consecutive working days, a medical certificate from a registered medical practitioner stating the period of rest advised must be uploaded in Axle Connect with the application. For any hospitalisation, the discharge summary is accepted in place of a certificate.
- Weekends and declared holidays that fall within a certified period of illness are counted as SL only if the total period of absence exceeds 5 working days; otherwise they are not counted.
- SL may be combined with EL but not with CL. Where SL is exhausted, further certified absence is adjusted against EL balance, and thereafter treated as Leave Without Pay.
- Employees returning after 5 or more consecutive days of SL, or after hospitalisation, must provide a fitness certificate before resuming work.

5.3 Carry Forward

Unused SL is carried forward to the next calendar year. The maximum SL balance that may be accumulated at any time is 20 days; any balance above 20 days on 31 December lapses. SL is never encashed, whether during service or on separation.

6. Approval Process

1. The employee submits the leave application in Axle Connect selecting the leave type, dates and reason. The system validates the available balance and the notice requirement.
2. The application is routed to the reporting manager, who must approve or reject it within 2 working days of submission. Applications pending beyond 2 working days are escalated to the skip-level manager, and after 4 working days to the HR Business Partner.
3. Where a manager rejects an application, the reason is recorded in Axle Connect. Rejection is expected to be based on business need, such as a client deliverable or the absence of adequate cover, and not to be used arbitrarily.
4. An approved EL application may be cancelled by the employee up to the day before the leave begins, and the balance is restored. A manager may recall an employee from approved EL only in a documented business emergency, in which case unused days are restored and any non-refundable travel cost is reimbursed by the Company.
5. Leave applications are considered in the order in which they are received. Where two or more employees in the same team apply for the same period and adequate cover is not available, the manager may ask the later applicant to reschedule.

7. Leave During Notice Period and on Separation

An employee serving notice may avail CL and SL under the normal rules. EL during notice requires the written agreement of the reporting manager and the HR Business Partner and does not shorten the notice period. On the last working day, EL balance is encashed as described in Section 3.4, and CL and SL balances lapse without compensation. Where an employee has availed more leave than has accrued at the time of separation, the excess days are recovered in the final settlement at the rate of basic salary.

8. Record Keeping and Misuse

Leave balances are visible to every employee in Axle Connect and are updated on the first working day of each month. Discrepancies must be reported to people.india@data-axle.in within 30 days. Providing false information in a leave application, submitting a fraudulent medical certificate or taking up other employment while on SL is treated as gross misconduct under the Company Policies. Managers who approve leave in contravention of this policy are subject to the same disciplinary process.

9. Illustrations

- An employee joining on 10 March 2026 receives 7 days of CL and 8.5 days of SL for 2026, and begins accruing EL at 1.5 days per month from March, so that 15 days of EL are accrued by 31 December 2026.
- An employee with a 42-day EL balance who accrues 3 more days in November and December 2026 will have 45 days on 31 December 2026 and loses nothing; had the balance been 44 days before the accrual, 2 days would lapse.
- An employee who takes EL on Thursday 8 October 2026 and Friday 9 October 2026 and resumes work on Monday 12 October 2026 is debited 2 days of EL, because the weekend that follows the leave is not sandwiched.